

BMW Tariff Response

STRATEGY & TRANSFORMATION TEAM

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1) Organisational Context



Tariff Exposure

- **Material threat €1 billion:** tariffs on imported vehicles and components
- USA Market → 18.5% BMW's annual revenue
- Vehicles from facilities in Europe, Spartanburg (USA) and San Luis Potosi (Mexico)
 - 'Local-for-local'
 - San Luis Potosi → critical cost point

U.S.-EU Trade Agreement

15%

United States-Mexico-Canada Agreement (USMCA)

25%





Stakeholders

Customers

- **Expectation:** Stable prices; consistent product quality and availability.
- **Project Outcome:** Avoid price increases; maintain supply and quality.

Shareholders

Board of Directors

Employees

Regulators

Suppliers



Strategy



Objective: profitability and market competitiveness

- Immediate offset of tariff costs
- Long-term market position: heart of innovation and digital mobility leadership in the automotive industry

Two-pronged strategy

- (1) expanding subscription-based digital features
- (2) reformulating US production to reflect domestic demand



2) Scope Management



Digital Features



Remote vehicle function

Ambient lighting



AI Solutions – R&D



Augmented reality display

U.S. Production

SUVs



**2-Series & 3-Series
Electric Vehicles**



Scope of work



In Scope Activities

- **Market and tariff impact analysis**
- **Digital feature roadmap design**
- **Product line localisation strategy**
- **Subscription model development**
- **Software development for digital features**
- **Retooling of the Spartanburg Plant**
- **Marketing for digital features**
- **Financial modeling**
- **Pilot and rollout plan**



Out of Scope Activities

- **Manufacturing plant relocation or construction**
- **Legal or trade lobbying activities**
- **Core vehicle engineering beyond digital feature integration**

WBS & Responsibility Assignment Matrix

Legend

R	Responsible
A	Accountable
C	Consulted
I	Informed

WBS ID / Task	Project Manager	Strategy Lead	Digital Product Lead	Finance Analyst	Data and market analyst	Executive Sponsor	Legal and Compliance
1.1 Analysis and Foundation							
1.1.1 Tariff impact and market analysis	C	A		R	R	I	C
1.1.2 Project feasibility study	A	R	C	C	R	I	
1.1.3 Foundational report	A	R	C	R	C	I	C
1.1.4 Top management approval	A	R		C		I	
1.2 Subscription Model and Financial Scenario Analysis							
1.3 Digital Feature Enhancement and Integration							
1.4 US Plant Product Line Transition							
1.5 Marketing and Commercialisation							
1.6 Initiate Changeover							



3) Project Schedule





Project Schedule Summary

1. Six overlapping phases supporting BMW's dual strategy: digital expansion & U.S. production shift



2. Durations estimated via expected-time formula t_e
 $= (t_o + 4t_m + t_p)/6$ (Pinto, 2019)



3. Existing digital infrastructure (e.g., Driving Assistant Plus) enables faster rollout



4. Timeline: 15 months to digital launch, 19 months total project rollout



Gantt Chart



Facility Retooling Schedule

8 months

Digital Features Schedule

15 months

Total Project Schedule

19 months

Task

Q4 2025

Q1 2027

★ Analysis and Foundation

47 days



★ Subscription Model & Financial Scenario Analysis

53 days



★ Digital Feature Enhancement & Integration

282 days



★ US Plant Product Line Transition

129 days



★ Marketing & Commercialisation

52 days



★ Initiate Changeover

90 days



4) Project Estimation





Project Estimation

\$22M

Analysis and Foundation

\$28M

Subscription Model and
Financial Scenario
Analysis

\$185M

Digital Feature
Enhancement &
Intergration



\$210M

US Plant Production Line
Transition

\$15M

Marketing &
Commercialisation

\$10M

Initiate Changeover

5) Risk Management





Risk Breakdown Structure

LEVEL 1	LEVEL 2	LEVEL 3 EXAMPLE
Internal	Technical	Malfunction of digital features & quality issues
	Organisational	Loss of support from management
	Project Management	Communication
External	Market	Customer acceptance
	Regulations	Material change to tariff regime
	Environmental Impact	Pollution risk

RIM & Risk Mitigation



Risk	Risk Rating	Mitigation
Delays in digital feature development	Extreme	Minimise risk: Create teams that incorporate both systems engineers and continuous testing to ensure early prototypes work.
Loss of support and funding from BMW executives.	High	Transfer risk: Secure an executive commitment via milestone-based funding.
Customer resistance to new digital features	Moderate	Share risk: Conduct joint pilot projects with dealers and other partners to share marketing costs.

6) Monitoring & Control Plan





Monitoring & Control Plan



Tracking Method

- **EVM** to track progress
- Key metrics: **PV, EV, AC**
 - **CPI, SPI**
- Variance thresholds: **±10%**
→ PM review; **±15%** → Executive escalation
- Tools: **Gantt charts, S-curves, milestone reviews**



Notification Record

- **Bi-weekly** status reports to PM & Steering Committee
- Monthly executive summaries to BMW Sponsor
- Reports include: **CPI/SPI, phase completion, emerging risks, corrective actions**
- Updates archived; formal sign-off



Control Systems

- **Scope control:** formal documentation for any changes
- Forecasting: **$EAC = AC + [(BAC - EV)/CPI]$**
- Risk response: re-estimate if tariff policies shift
- Focus on compliance, quality, and configuration control



Questions?

